



### Free riding

Because a firework display can be seen for miles around, people who have not paid to attend the event in a park can “free-ride” at the expense of those who have.



## STATE SUBSIDIES

In most countries, governments provide public goods with money from taxpayers, or through state-owned companies. Or, they may give money to a business, as a subsidy, to encourage it to supply goods and services, such as clean energy, that would

not otherwise make a profit.



*Caveat emptor* is Latin for “Let the buyer beware.”